

But for a company like Pidilite, its major productive assets are plants, machinery, and buildings which form the main productive assets.

Apart from that, land is required for the building. Thus, you can consider land as a productive asset. Alternatively, land can also be treated as a financial investment. This depends on how the company uses it.



*Productive assets*

As seen, about 1200 crores worth assets are productive assets for the company i.e. they directly contribute to production. Most assets tied to productive use is a good sign for any company. In contrast, only 84 Crores is utilized for unproductive asset use.



*Unproductive assets*



The company above shows judicious use of its capital, as seen from its use of capital. This is a good case where the company uses its fixed assets wisely.

There can be instances where a company has extraordinarily spent on unproductive uses of capital. As much as 40- 45% of the total assets are put to unproductive use. These are signs that the company is not using its assets well and will return to poor return on capital.